Sharp CPI overshoot raises risk of more aggressive rate moves in the Philippines

Headline CPI in the Philippines surged to a three year high of 7.2% YoY in April, driven primarily by broad based food inflation and fuel linked pressures on transport and utilities. With oil prices staying elevated and inflation set to rise above 8% in 2Q, a June rate hike is a done deal, with risks increasingly skewed toward a larger or faster move

Food inflation was the key driver of the CPI spike in April

CPI inflation surges to three-year high

Headline CPI inflation in the Philippines rose sharply to 7.2% year-on-year in April, much higher than our expectation of 5.2%, and up by over 3 percentage points from 4.1% YoY in March.

While the jump in transport inflation was expected due to higher oil prices, it was the significant acceleration in food inflation, together with second-round effects from the continued pass-through of higher global oil prices to electricity, gas, and restaurant prices, that drove the upside surprise.

Food contributed the most, followed by transportation

- **Food inflation**, which accounts for roughly 38% of the CPI basket, remained the key driver, with its contribution to headline inflation doubling to 2.3ppt from 1.1ppt in the previous month. Rice prices rose 13% YoY and accounted for roughly half of the food inflation, while non rice food prices contributed the remainder – suggesting that price pressures within the food category were more broad based and symmetrically driven by fertiliser shortages, rather than being solely attributable to rice specific factors.

- **Fuel** inflation was up 76% YoY while driving transport inflation, up by 21% YoY, was the second largest contributor to headline inflation, accounting for a total contribution of around 2ppt, or about 28% of overall YoY inflation. Housing, electricity, and gas contributed a further 1.7ppt, also largely driven by higher fuel prices.
- **Services inflation**, in contrast, did not see any large spikes, with its overall contribution accounting for less than 1ppt of headline inflation. However, core inflation rebounded to 3.9% YoY – led by a 20% YoY surge in recreational services – leaving it just a touch below the Bangko Sentral ng Pilipinas (BSP's) 4% target.

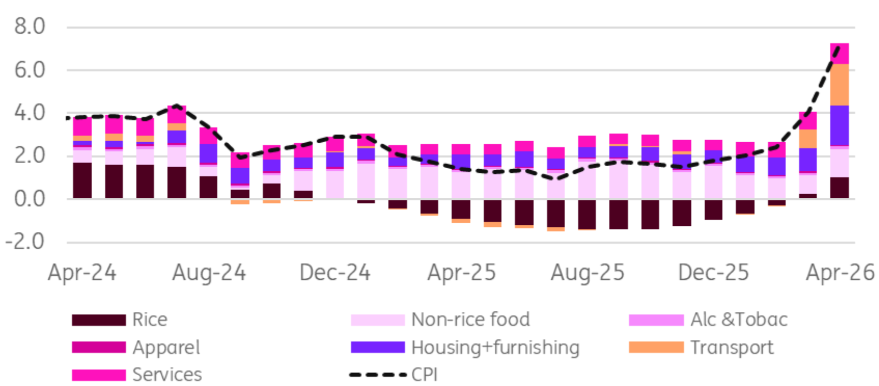
A 25bp hike is a done deal, with risks tilted towards a 50bp move

We continue to expect front loaded and measured rate hikes by the BSP. With negotiations around the US Iran conflict dragging on and no imminent de escalation in sight, our base case has shifted toward higher global oil prices, with supply disruptions easing materially only in 3Q. Against this backdrop, we now expect Brent crude prices to average around US$104/bbl in 2Q, with CPI inflation likely to rise further and average above 8% in 2Q, pushing our full year inflation forecast to 6% YoY.

The sharp CPI upside surprise reinforces the risk of larger and faster rate moves by the BSP. Inflation pressures have become increasingly broad based, with food and fuel shocks feeding into core inflation and services, raising the risk of more persistent second round effects. In this context, a 25bp rate hike in June looks assured, with risks clearly tilted toward a 50bp move.

Moreover, given the BSP's preference for measured policy adjustments and the recent sharp depreciation pressures on the PHP, a rate hike ahead of the next scheduled policy meeting cannot be ruled out. As such, we now expect a further 75bp of cumulative rate hikes from the BSP in our base case. Under a prolonged war scenario, however, a deeper and more aggressive hiking cycle would likely follow.

Contribution to YoY Inflation pp



Source: CEIC

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